Local Drivers Network — Questions, Answered With Data

An external data pack · October 20, 2026

This document answers the questions investors, partners, and town officials ask about the Local Drivers Network, using published data and clearly labeled models. It contains no internal correspondence and no confidential material — every figure below is either cited to a public source or marked modeled with its assumptions stated. The companion due-diligence document is the Consolidated Project Brief; the claim-by-claim evidence index is `proofs/PROOFS.md` in the project repository.

The data at a glance

Metric	Figure	Basis
Incorporated places in the US	~19,500	US Census Bureau
Places in the target band (pop. 5,000–40,000)	~3,700	Calculated from Census distribution
Also 1+ hour from a major city	~900–1,400	Modeled (542 micropolitan areas as anchor)
Serviceable towns (also pass the need screen)	~550–850	Modeled
Serviceable market at $12,000/yr per town	**~$8.4M ARR**	700 towns × $12,000
Ceiling (all in-band towns)	$44.4M ARR	3,700 × $12,000
DUI arrests, US (2021)	1,031,812 (~3.1 per 1,000 residents)	FBI UCR
Public cost to process one DUI	~$2,700 – $6,470	CA courts study (adj.); WA 2023 cost model
Officer time per DUI	2–6 hours	Municipal sources, CA + MI
Alcohol-impaired deaths (2023)	12,429 (~1/3 of US traffic deaths)	NHTSA
Rural share of alcohol-impaired deaths	43–52% (vs. ~19% of population)	NHTSA/FARS via National Academies
Towns with zero rideshare trips (SC, 2.5 yrs)	103 of 271 incorporated (38%)	SC state TNC fee data
Proven comp: alcohol-crash reduction	17% (Road Crew, WI)	Univ. of Wisconsin evaluation
Cost per avoided crash vs. crash cost	$15,300 vs. ~$56,000	Same evaluation

Metric	Figure	Basis
Cost to qualify one town (research pipeline)	~$25–$100	Modeled; pilot towns cost $0 in records fees
Records fee, typical small-city request	$0–$25	Published fee schedules, CA
Gross margin per town	~62–75%	Modeled
Cost to acquire one town	~$1,600–$2,950	Modeled at 2–5% close rates
Payback on acquisition cost	~2–5 months	Modeled

Q1. How many towns can actually buy this?

The honest funnel, from Census counts — not the round numbers that circulate in early pitches:

Step	Towns
All incorporated places in the US	~19,500
With fewer than 5,000 people (excluded — too small to staff drivers)	−14,800
With 50,000+ people (excluded — rideshare already serves them)	−780
In the 5,000–40,000 band	**~3,700**
Also 1+ hour from a major city	~900–1,400
Also pass the need screen (taxi gone, rideshare absent, alcohol crashes a live problem)	**~550–850**

At $12,000/yr per town, ~700 serviceable towns = **$8.4M ARR**, with a $44.4M ceiling. Not counted: county contracts covering unincorporated areas (counties, not towns, hold much rural road mileage), size-based price tiers, and insurance-administration revenue.

Q2. What actually happened to rides in these towns?

- **The taxi era ended.** Small-town cab companies were thin-margin businesses; most closed over the past two decades and were not replaced.
- **Rideshare does not fill the gap.** Platform drivers cluster where trip density pays. In South Carolina, **103 of 271 incorporated towns and cities (38%) recorded zero Uber/Lyft trips originating over 2.5 years** of state TNC fee data; three entire counties recorded none. In the project's pilot market, drivers based in Grass Valley, CA migrated to Sacramento, an hour away, for better earnings.
- **The risk concentrates exactly there.** Rural areas produce **43–52% of US alcohol-impaired driving deaths** with about a fifth of the population, and the distances that make rides scarce also make crashes deadlier and emergency response slower.

Q3. How big is the DUI problem in one target town?

National baseline: 1,031,812 DUI arrests in 2021 ≈ **3.1 arrests per 1,000 residents per year**. Applied to the target band:

Town population	DUI arrests/yr	Officer hours/yr (at 2–6 hrs each)	Annual public processing cost at ~$2,700 (CA)	at $6,470 (WA)
6,000	~19	38–114	~$51,700	~$122,900
12,000	~37	74–222	~$100,700	~$239,400
20,000	~62	124–372	~$169,000	~$401,100
40,000	~124	248–744	~$337,200	~$802,300

Against this, the service costs a town **$12,000/yr**. Processing costs exclude crash damage, injuries, and deaths entirely.

Q4. What does one DUI cost the public — really?

Study	Figure	Scope
US Office of Justice Programs / NIJ — California municipal courts	$1,108 mean per case (study dollars) ≈ **~$2,700 in 2026 dollars**	Arrest through DMV action, labor only
Washington State Criminal Justice Cost Model (2023)	**~$6,470 per incident**	Law enforcement + prosecution + public defense; jail ~$145/day extra
Officer time per DUI	**2–6 hours**	Nevada City, CA police chief; corroborated by Michigan municipal reporting ("at least 2 hours," the most paperwork of any arrest)

The project's own early pitch figure (~$1,500) **understates** both studies. The conservative number is the CA figure; either way, one town's existing DUI processing spend is a multiple of the service fee.

Q5. Can a small town actually approve $1,000/month?

- **Price point:** $12,000/yr sits below most municipal competitive-bid/RFP thresholds for services, and below mainstream small-city software (Tyler Technologies SaaS starts ~$15,000/yr for small municipalities). A council can approve it without a procurement process.
- **Process reality:** local-government software decisions run on budget calendars — a few months to over a year when they miss a cycle. The pricing is designed so the decision does not need a grant, a bond, or a tax measure in most towns; the funding channels below are accelerants, not prerequisites.

Q6. How can a town pay without new taxes?

1. **Federal safety grants.** NHTSA highway-safety funding flows through state highway safety offices: **$800M+ approved for FY2026** (Section 402: $409M; Section 405: $382M), with impaired-driving countermeasures an explicitly funded category ($147.5M in a recent cycle). Safe Streets (SS4A) is a second channel that funds local safety-action work directly.
2. **Offender cost recovery.** Many states authorize charging DUI offenders for emergency response. **Grass Valley, CA already charges $2.00 per minute of DUI investigation/response time** — at its ~37 DUIs/yr and the standard 2–6 officer hours, that is roughly **$13,300/yr recovered, covering the entire fee**.
3. **The Wisconsin model.** Road Crew was funded by a state DOT grant plus a per-drink surcharge at participating bars; SafeRide runs at roughly $1M/yr statewide funded through the Tavern League. Local hospitality co-funding is a proven third leg.

Q7. Does a ride-home program actually reduce crashes?

Yes — this is the best-documented part of the model.

- **Road Crew (Wisconsin):** three rural communities, **19,757 rides in one year**, alcohol-related crashes down an estimated **17%** (~15 crashes prevented). Cost per avoided crash: **$15,300**, against an average alcohol-crash cost of ~$56,000 — a **~3.7× return** before counting injuries and deaths.
- **SafeRide (Tavern League of Wisconsin): 45,527 free rides in 2022–23**, over **1 million rides since 2004**, ~$1M/yr program cost (~$11–$22 per ride). Wisconsin OWI convictions are down **44% since 2007**, with SafeRide credited as a contributor.
- **Break-even bar for a town:** at $12,000/yr and $15,300–$56,000 per avoided crash, a town's program pays for itself if it prevents **roughly one crash every 1–4 years** — or, on processing costs alone, ~2–5 DUIs a year.

Q8. What does it cost to run, per town?

Modeled direct costs (assumptions in the Consolidated Brief, §15):

Line	Per town / yr
Revenue	$12,000
Launch: setup, committee support, driver recruiting support	~$1,000
Driver background checks + motor-vehicle reports (~$45–$110/driver, published Checkr pricing; ~10 drivers, churn included)	~$750–$1,500
Continuous monitoring ($2.50/driver/mo)	~$300
Routine upkeep, hosting, support allocation	~$1,000–$1,500
Direct cost total	**~$3,000–$4,500**
Gross margin	**~62–75%** ($625–$750 per town per month)

Q9. How do the drivers do?

- Drivers are **independent local operators**, not employees. They bill passengers directly and **keep 100% of the fare**; the platform never takes a cut. (Published fare estimates for comparable private rural rides run $15–$50 within ~10 miles, $75–$150 for longer runs.)
- The barrier that killed part-time driving is insurance: full commercial cover runs **~$1,200/month**. The network's model replaces it with **per-passenger-mile liability cover at $0.60/mile today** through HUM — pay only while carrying a passenger. Independent check: insurance runs ~21% of the average Uber/Lyft fare (Gridwise, 2026), ≈ $0.63/passenger-mile on a typical ride, so the per-mile rate is in line with market.
- At pilot-market scale, a town's rides represent an estimated **$15,000–$100,000/yr in local driver earnings** that currently leave town or never happen (modeled in the Brief, §16).

Q10. How do you sign towns without burning the raise on sales?

The Version 2.0 research engine replaces the field-sales model:

1. **Automated screening** of all ~3,700 in-band towns on public data (taxi gone? rideshare absent? alcohol crashes rising?) — fractions of a dollar of compute per town plus review time, ~$1–$5 per town all-in (modeled).
2. **Public records requests** to each qualifying town's police, sheriff, and highway patrol for its actual DUI volume and cost. Under California's Public Records Act, fees are limited to duplication cost: **typically $0–$25 per request**, and the project's two pilot towns (Grass Valley and Nevada City) were researched at **$0 in fees**. Published schedules: Grass Valley $5 for the first 10 pages + $0.25/page; Nevada County Sheriff $5 first page + $0.50/page. Budgeted worst case per town: $50–$150 in fees, rare full-text searches excluded by template design.
3. **A pitch that arrives with the town's own numbers.** Total modeled cost per qualified town: **~$25–$100**. At a 2–5% close rate, **CAC ≈ $1,600–$2,950 per signed town**, paid back in **~2–5 months** of the fee.

Q11. What capital is required, and what does it buy?

Use	Amount	Status
Version 1.0 build to market (driver + passenger apps)	$35,000	Quoted; development under contract
National research rollout (~1,150 towns through screening + records)	~$50,000	Modeled
Five pilot-town launches	~$20,000	Modeled
Multi-state legal + insurance program setup	~$15,000–$30,000	Modeled
Twelve months lean operations	~$60,000	Modeled
Total path to first recurring revenue	**~$180,000–$230,000**	Plus the Version 2.0 build (priced separately)

Milestone path at $12,000/yr per town: 5 towns = $60K ARR · 25 = $300K · 100 = $1.2M · 250 = $3M · 700 = $8.4M (the serviceable market). The business is designed to be capital-efficient: no fleet, no employed drivers, no vehicle assets — software, insurance plumbing, and data.

Q12. What are the honest risks?

- **Market smaller than early estimates.** The initial figure of 10,000–20,000 towns does not survive Census data; the verified band is ~3,700 and the serviceable market ~700. The plan is built on the corrected numbers ($8.4M ARR serviceable, before county contracts and price tiers).
- **Sales cycles are calendar-bound.** Small towns buy on annual budget cycles. The under-RFP-threshold price mitigates this; it does not eliminate it.
- **Regulation is state-by-state.** Transportation-for-hire and insurance rules differ by state, and the per-mile insurance model must be confirmed state by state before launch in each. This is budgeted in the legal/insurance line.
- **Records law has limits.** Agencies must produce existing records; they cannot be compelled to create new statistics. The research engine therefore requests source records and computes the figures itself — and in some jurisdictions, unusual requests can carry higher fees, controlled by a fee cap in every request template.
- **Insurance pricing is negotiated, not final.** The $0.60/mile rate is current; the ~$0.30 target depends on a future negotiation and scale. The unit economics above are run at the current rate.

The data behind this pack

Datasets and sources assembled for this project (full index: `proofs/PR00FS.md`):

- **US Census Bureau** — incorporated-place counts and population distribution; USDA ERS non-metro data; OMB micropolitan delineations.
- **FBI Uniform Crime Reporting** — DUI arrest volumes (2021).
- **NHTSA / FARS** — alcohol-impaired fatalities, rural share, crash costs; NHTSA grant program releases (FY2026).
- **Two municipal DUI cost studies** — US Office of Justice Programs (California courts) and the Washington State Criminal Justice Cost Model (2023).
- **Two program evaluations** — University of Wisconsin / WisDOT (Road Crew) and Tavern League of Wisconsin (SafeRide) published results.
- **Municipal fee schedules** — City of Grass Valley FY2024-25; Nevada County Sheriff; California Public Records Act duplication-cost rules.
- **Vendor pricing** — Checkr (background checks, MVR, continuous monitoring); Gridwise rideshare economics (insurance share of fare); Tyler Technologies small-municipality SaaS benchmarks.
- **Pilot-market records** — Grass Valley (~12,000) and Nevada City (~6,000), CA: DUI context, agency fee schedules, and completed records research at $0 in fees.
- **The screening schema** — 18 fields captured per town (population, metro distance, taxi/rideshare status, alcohol-crash trend, DUI arrests, officer hours, taxpayer cost per DUI, records fees, qualification) — the dataset the Version 2.0 engine produces at national scale.

Modeled figures are planning estimates with stated assumptions, not guarantees or audited financials. For discussion purposes only; not an offer to sell securities.